US escalation against Iran still likely

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【メール原文】

Despite President Donald Trump’s loss in the midterms, US escalation against Iran remains the basecase. Midterms have left Trump as a lame duck, he wi||||||||||||||||

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summary

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Despite President Donald Trump’s loss in the midterms, US escalation against Iran remains the basecase.
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Midterms have left Trump as a lame duck, he will focus on foreign policy wins, personal grievances, legacy projects, and holding onto control of the GOP.
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The Democratic sweep in the midterms will only have a moderate impact on data center policy.
*
Right-wing opposition parties remain on track to win a majority in Spain’s 29 November parliamentary elections, likely resulting in a center-right government.
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Countries and sectors in this edition of the Daily Brief include the US, Iran, Argentina, Venezuela, Spain, South Africa, and geo-technology.

the top line

US, Iran—Escalation still likely despite midterms rout

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Despite the recent fall in oil prices following midterms, escalation is still likely (60%, down from 65%). Trump will probably launch new strikes to break the negotiating deadlock. Brent would likely jump to $110–125 per barrel.

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Democratic criticism won't sway Trump, but GOP splits could make him hesitate. His room to act shrinks after the new year, when Democrats can use funding to limit his options.

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A deal looks less likely (10%, down from 20%). Iran's demands are steep, and the midterm results have probably emboldened it. Trump will reject any deal that looks like a defeat. A continued standoff is now more likely (30%, up from 15%), as many of Trump's advisors reportedly favor this.

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Strikes could be delayed or smaller than expected. Trump hasn't picked a strategy yet. His options range from a large bombing campaign to targeted strikes on Gulf assets to symbolic hits on targets like Pickaxe Mountain.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

US—Key questions about the midterms

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A lane for unaligned GOP members is opening. Candidates backed by Trump lost even in deep-red Texas and Kansas, which should speed up Republican distancing from the White House.

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The 2028 GOP field looks different. Secretary of State Marco Rubio is well-positioned, while Vice President JD Vance is weakened. Florida Governor Ron DeSantis, who has publicly broken with the administration, likely sees a path to the 2028 nomination.

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Democrats will likely stay centrist. Moderate wins in Trump states matter more than Senator-elect Abdul El-Sayed's Michigan victory, and the momentum favors figures like Georgia Senator Jon Ossoff.

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Trump will focus on foreign policy wins, personal grievances, legacy projects, and holding onto control of the GOP.

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With at least 54 Senate seats, Democrats need six GOP votes to clear the filibuster. Impeachment and overriding vetoes would take another 13, which is still out of reach, so policy shifts will be modest.

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A 60-seat Senate is possible in 2028, but depends on a strong blue wave flipping states like Iowa, Kansas, or Florida.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Geo-technology—Electoral losses for data centers will have moderate impact on buildout

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Local voters rejected data centers almost everywhere they appeared on ballots. Most Ohio rezoning measures failed. Municipal limits shift projects to friendlier jurisdictions within states rather than halting statewide buildout, constraining it only where they overlap with needed power, water, and connectivity.

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Gina Hinojosa's defeat of Governor Greg Abbott in Texas matters most. Texas hosts about one-third of the planned US buildout. With limited executive power, she will likely extend Abbott's grid interconnection halt and work with a split legislature to cut incentives and strengthen local vetoes.

Democrats also flipped Georgia and Ohio; Georgia's governor-elect promised a temporary pause.

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Governors will likely favor conditions over outright bans. Expect environmental, labor, and community-benefit requirements plus incentive rollbacks, raising costs and redirecting projects to friendlier states. Any moratoria will be temporary, slowing but not halting the buildout.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Spain—Right-wing parties remain on course for a majority

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Right-wing opposition parties remain on track to win a majority in the 29 November parliamentary elections, likely resulting in a center-right government led by the conservative People's Party (PP), with the right-wing Vox as the junior partner (an 80% probability, up from 70%).

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The incumbent Socialist Party (PSOE) and its left-wing and regional allies still have a path to victory (20% probability), but persistent fragmentation on the left, the right's durable lead, and the Toledo train crash have narrowed it further.

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Fiscal risks are growing, but a right-wing government would likely continue gradual fiscal adjustment in line with EU requirements, tighten immigration policy, extend the lifespan of nuclear power plants without meaningfully weakening support for renewables, and likely avoid new bank levies.

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Read more here. Reach out to discuss: europe@eurasiagroup.net .

Latin America, US—Decisive midterm defeat will only marginally affect US approach to region

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Republicans' midterm defeat will leave Trump weakened during the second half of his term. However, this is unlikely to dramatically affect his foreign policy agenda, which depends largely on executive power, even if there is more scrutiny from a Democratic Congress.

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Pressure to have elections in Venezuela is growing, as Rubio now has a clearer path to the Republican nomination and will be looking to establish an electoral timeline before he leaves office; oil ties are also likely to be an early focus of congressional investigations.

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The potential departure of other cabinet members could also affect regional policies, such as extraordinary Treasury support for Argentina, which hinges in large part on Treasury Secretary Scott Bessent. Still, the US will remain supportive of conservative allies via more traditional mechanisms.

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Conservative leaders in the region will likely continue to lean into the US, especially on security, but will likely ensure continued engagement with other foreign partners, including middle-power hedging and maintaining economic ties with China.

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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

US—Bessent accepts the limits of his toolkit as Treasury readies auction changes

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The US Treasury held auction sizes unchanged but dropped “at least” from its pledge to keep them steady “for the next several quarters,” which could be read as implying changes as soon as the first half of 2027.

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They signaled that changes will come through regular quarterly auction-size decisions rather than ad hoc announcements and bigger buybacks. We think Bessent has heeded market feedback and accepted the constraints on his toolkit’s ability to lower Treasury yields (see note , 8 September).

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Short-term T-bills will fill the funding gap for now. Later changes, likely more 2- to 7-year notes and fewer 20- and 30-year bonds, may leave the debt’s average maturity little changed.

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With Democrats controlling Congress and fiscal consolidation unlikely, dealers’ projected $2.14 trillion funding shortfall for fiscal 2028-29 makes larger auctions likely.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

upcoming conference calls

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5 November 11:00 AM ET—US-Iran talks and the outlook for escalation. Register here .

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5 November 8:00 PM ET—Implications of the US midterms. Register here .

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6 November 8:00 AM ET—Brazil update. Register here .

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6 November 9:00 AM ET—Local South Africa government elections and political implications looking to 2029. Register here .

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10 November 8:00 PM ET—US-Iran talks and the outlook for escalation. Register here .

eg in brief

South Africa—Local election results will deepen municipal coalition instability: South Africa held municipal elections on 4 November, and with results likely expected over the weekend. If the African National Congress performs in line with recent polls (around 30% nationally), that will broadly maintain the status quo within the party, supporting President Cyril Ramaphosa's control over the leadership transition and Deputy President Paul Mashatile maintaining his position as a leading candidate. Vote fragmentation will make it more difficult for any one party to reach majority status in municipal councils across the country, deepening coalition instability at municipal levels and worsening financial mismanagement and service delivery failures. In response, the national government will likely accelerate reforms to tighten conditions on fiscal transfers and increase oversight of municipal infrastructure spending. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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5 November: Central bank decision: Mexico.
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6 November: Data: Germany industrial production, US unemployment, nonfarm payrolls, and UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"The reason we lost is the war. The president himself said so last night."—JD Vance said in a post on X following the Democratic sweep.

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